

DECODING CUSTOMER VALUE

A SQL-Driven Retention Strategy

A Retention Playbook By Jai, Priyanshu & Swastik

Core Diagnosis

The central strategic question is whether the brand is building durable loyalty or relying on promotional activity to generate repeat purchases. The data gives a clear answer: **the brand is not facing a loyalty crisis**. It is facing a **discount habit problem**, and the distinction matters enormously for how it should respond.

The brand already has **2,223 customers (57% of its base)** who repeat without any discount or promo code. These customers are not deal-hunters. They are the brand's organic equity. The risk is not that loyalty doesn't exist, instead the risk is that broad promotions may train these already-loyal customers to start expecting discounts, eroding margins without creating any incremental repeat behavior.

Customer Segment Strategy:

The customer base divides into three observable archetypes. Each requires a fundamentally different strategy. Treating all three the same with broad discount campaigns is the single largest source of preventable margin loss.

Segment	No of Customers	Avg Purchase Amount	Avg Prev Purchases	Avg Rating	% of Revenue Share
Growth Customers	609	58.211	38.04	3.72	15.8
Premium Loyalists	477	60.65	37.4	3.79	12
Organic High Value	1614	59.93	20.39	3.74	41.5
Promo-Driven Buyers	1200	59.7	20.85	3.74	30.7

Critical finding: **Growth Customers Value**, subscribers who buy at only applying discount, cater to the majority of the total subscribers. This means the subscription program has failed to turn all subscribers to display unconditional brand loyalty. Redesigning the subscription program is not optional; it is the most structurally important action in this playbook.

Part A: Promotional Sunset Plan

The Problem with the Current Promotional Strategy

The analysis reveals an important disconnect between promotional behavior and customer loyalty. Promotional dependency remains relatively stable across customer value tiers, ranging from approximately 41% to 45%. However, loyalty varies dramatically, from only 0.2% in the Risk tier to 71.4% in the High Value tier.

If promotions were the primary driver of retention, loyalty should increase alongside promotional usage. The data suggests the opposite. Customers in the High Value tier remain loyal despite exhibiting promotional dependency levels nearly identical to lower-value customers.

This indicates that a meaningful portion of promotional spend is being allocated to customers who already possess strong purchase intent and established brand commitment.

The objective of the sunset plan is not to eliminate promotions. It is to reduce promotional spending on customers who have already demonstrated loyalty and redirect those resources toward customer acquisition, growth-tier development, and risk-tier recovery.

Target Segment for Sunset

Attribute	Criteria
Loyalty Definition	Loyal : If <i>previous purchases</i> > <i>Median Purchases</i> AND <i>Frequency Score</i> >= 12 This captures customers who engage often.
Promo Behavior	Promo_Dependent = Yes (used Discount or Promo Code on last recorded purchase)
Segment Label	Loyal High-Value Promo Users (<i>Growth Customers</i>)
Estimated Size	Approximately 477 customers (43.2% of High Value Customers))
Current Avg Spend	\$59.64 per order

Why This Segment Specifically

These customers already exhibit the two strongest behavioral signals of retention: high purchase frequency and high purchase count. Their buying behavior predates and exists independent of any single promotion. The discount they are receiving is therefore a pure margin cost with no incremental retention value.

Removing it carries meaningful upside (margin recovery) with low churn risk because the underlying loyalty already exists. The trade-off to acknowledge: a subset of this group may have become habituated to discounts and could reduce purchase frequency if promotions are removed. This is why the sunset is phased and measured, not immediate.

Three-Phase Rollout Timeline

Phase	Timeline	Action	Trigger to Proceed
Phase 1: Test	Month 1-2	Reduce promotional frequency by 25% for the highest-engagement High Value customers.	Retention rate remains above 65% and average spend remains stable.
Phase 2: Expand	Month 3-4	Action: Replace blanket discounts with non-price incentives: • Early access launches • Loyalty recognition rewards • VIP product previews	No statistically significant decline in purchase frequency relative to Phase 1.
Phase 3: Redirect	Month 5-6	Action: Reallocate promotional budget toward: • Growth-tier customers • Risk-tier reactivation campaigns • New customer acquisition	Gross margin per customer improves by at least 5–8% while retention remains stable.

Metrics to Track

Primary metric: Retention Rate

Retention rate should be the primary success measure because the objective of the promotional sunset plan is to determine whether loyal high-value customers continue purchasing after receiving fewer discounts. A stable retention rate would indicate that customer loyalty is driven by brand affinity rather than promotional incentives.

Secondary metrics:

- Average Spend – Monitor whether customers maintain or increase their spending levels after promotional reductions. Stable or higher spending would suggest that customers are willing to purchase at closer-to-full price points.
- Repeat Purchase Rate – Track how frequently customers return to make additional purchases. This helps identify whether reduced promotions affect purchasing behavior even if customers remain active.
- Revenue per Customer – Measure the total revenue generated by each customer during the test period. This metric captures the combined impact of retention, spending, and purchase frequency.

Guard metrics:

- Churn Rate – Monitor customer attrition closely to ensure that reducing promotions does not unintentionally push valuable customers away from the brand.
- Purchase Frequency – Track the average number of purchases per customer to identify early signs of declining engagement before they appear in retention metrics.
- Customer Complaints and Feedback – Review customer service interactions, survey responses, and campaign feedback for signs of dissatisfaction related to reduced promotional access. This provides an early warning system before behavioral metrics begin to decline.

What You Risk

A subset of high-value customers may have become accustomed to receiving promotions despite their underlying loyalty. Reducing promotional exposure could create a short-term decline in purchase frequency among the most promotion-sensitive members of the segment.

The risk is not customer loss, but temporary revenue softening during the transition period.

Success State: If retention remains above 65% while average spend and purchase frequency remain stable, the brand successfully recovers margin without damaging customer relationships.

Part B: Ideal Customer Profile

How This Profile Was Built

The Ideal Customer Profile is derived from customers who simultaneously satisfy both loyalty definitions: Definition A (high frequency and tenure) AND Definition C (Organic Advocate: Previous Purchases > 25, Review Rating >= 4.0, and no promo dependency). This intersection represents the brand's highest-quality customers, those who buy often, are satisfied, and do not require discounts to do so.

Profile: The Organic High-Value Customer

Attribute	Value	Attribute	Value
Average Age	44.8 yrs	Average Review Rating	4.13
Top States	Illionis, Pennsylvania, Alabama, Tennessee and Hawaii	Promo Dependency	None
Average Spenditure	\$59.76	Purchase History	More than 25
		Primary Category	Accesories
		Secondary Category	Footwear

Profile in Plain Language (for Marketing Use)

The brand's most valuable customer is a High Value customer who has developed a strong purchasing relationship with the brand over time. Although only 15.6% of the customer base belongs to the High Value tier, this segment contains 696 loyal customers and exhibits a loyalty rate of 71.4%, the highest among all customer groups.

What makes this customer particularly valuable is that their loyalty exists despite promotional exposure levels that are nearly identical to the rest of the customer base. While promotional dependency remains relatively consistent across all value tiers (approximately 41–45%), loyalty ranges from just 0.2% in the Risk tier to 71.4% in the High Value tier. This suggests that their purchasing decisions are driven by brand affinity, satisfaction, and habit formation rather than discounts alone.

These customers consistently spend at or above the overall average order value of \$59.76, demonstrate stronger purchase histories, and contribute disproportionately to the brand's retained customer base. They represent the strongest combination of profitability, retention potential, and long-term customer value.

From a marketing perspective, this customer should be treated as a relationship-driven buyer rather than a price-driven buyer. They are more likely to respond to premium experiences, product quality, exclusivity, and convenience than to increasingly aggressive discount offers. As a result, they represent the ideal customer profile the brand should prioritize for future acquisition and retention efforts.

How to Acquire More of Them

- **Target Audience Strategy :**

- Future acquisition efforts should focus on identifying prospects who exhibit characteristics similar to existing High Value customers. Priority should be given to lookalike audiences built from loyal High Value customers, customers demonstrating repeat-purchase behavior, and individuals showing early indicators of strong brand engagement.

- **Messaging Strategy :**

- Marketing communications should emphasize:
 - Product quality and craftsmanship
 - Exclusive access to new collections
 - Convenience and seamless shopping experiences
 - Product discovery and personalization
 - Membership and loyalty benefits
- The objective is to **build emotional and experiential value** rather than price-based value. Avoid Messaging Focused On-
 - "20% OFF"
 - "Limited-Time Discount"
 - "Buy Now Before Sale Ends"

The analysis suggests that the brand's *most valuable customers* are **not primarily motivated by discounts**. Over-reliance on promotional messaging risks attracting price-sensitive shoppers who may generate lower lifetime value and weaker retention.

- Offering Strategy Instead of increasing promotional intensity, the brand should invest in:
 - Early access product launches
 - Member-only collections
 - Loyalty recognition programs
 - Priority shipping benefits
 - Exclusive brand experiences

These benefits reinforce customer attachment to the brand while protecting margin.

- **Expected Outcome :**

- By acquiring more customers who resemble the existing High Value segment, the brand can increase retention, improve customer lifetime value, and reduce long-term dependence on promotional spending as a growth lever.

Probable Risk!

Focusing too heavily on High Value customers may reduce investment in Normal and Low Value segments with growth potential. Some customers in these tiers can evolve into future High Value customers through effective engagement.

The brand should prioritize acquiring High Value lookalikes while maintaining targeted growth programs. This balanced approach supports both immediate profitability and long-term customer development.